Off-Plan Investment Trends

How to spot an overheated real estate market — and where top management should invest in an era of high inflation

73/100
PIRI 100 markets showed prime-home price growth in 2025 — 24 in decline

4.7%
revised global inflation forecast for 2026, IMF, July 2026

45%
of Dubai's off-plan supply is concentrated in just five districts

Sources: Knight Frank PIRI 100 / Wealth Report 2026 · PwC × ULI Emerging Trends Europe 2026 · IMF WEO Update, July 2026

Three facts you need to know in 15 seconds

THESIS

The off-plan real estate market is going through a phase of normalization: the key risk is not price growth itself, but the gap between expectations, actual supply, yields, and end demand.

+3.2%

average growth in prime-home prices worldwide, PIRI 100, 2025

+4.7%

global inflation forecast for 2026, revised upward

THREE THESES OF THE BRIEF

01

Overheating is a gap, not a price

It is better diagnosed not by price but by the gap between announced and actually delivered supply, income/rent dynamics, and buyer structure (cash vs. mortgage).

02

Capital is chasing scarcity

In 2026 capital gravitates toward scarce, hard-to-replicate assets. The “market as a whole” is not informative enough — the segment, location, and project stage are what decide.

03

Inflation is not a “buy” signal

High, not-fully-suppressed inflation raises the importance of cash flow, scarcity, developer quality and demand resilience — it does not create a universal signal.

Sources: Knight Frank PIRI 100 / The Wealth Report 2026 (20th edition, April 2026); PwC × ULI Emerging Trends Europe 2026; IMF World Economic Outlook Update, July 2026 — used as a reference framework, without directly quoting the sources' wording.

Trust starts with verifiability

THESIS

Every figure must have a period, a primary source, and a clear definition of the indicator. The club's analytical framework is kept separate from external research data.

EDITORIAL RULES

- Never present the club's own calculation as a published figure from a source.
- Forecasts must always state the forecast year and publication date.
- For every key figure, keep the original report's page/table in the internal fact-checking sheet.
- Strong language (“overheated”, “bubble”, “burst”) is used only where the source or set of indicators genuinely supports it.

CONFIRMED VERBATIM

Regional price growth (Middle East +9.4%, Dubai +25.1%, Tokyo +58.5%, Europe +3.3%, Marbella +8.1%, Hong Kong forecast +6.5%); PwC/ULI profitability share 50% (up from 46%); Dubai pipeline structure (45% / 66% / 86%).

CORRECTED DURING VERIFICATION

The phrase “inflation has slowed” on Strip 03 — the current WEO Update (July 2026) shows the opposite: disinflation has stalled, and the 2026 forecast was revised upward to 4.7%. The New Zealand case has been supplemented with verifiable figures instead of general statements.

Disinflation has stalled — reversal risk remains

THESIS

For off-plan investments, what matters is not only current inflation but the cost of money over the construction horizon: prolonged high inflation changes yield requirements and a project's safety margin.

Three consecutive upward revisions of the IMF's 2026 forecast — from 3.8% in January to 4.7% in July — are themselves an indicator of the reversal risk mentioned in the thesis.

Global inflation, actual and IMF forecast, % year-on-year

WHAT CHANGED BY JULY 2026

Rising energy and food prices linked to the Middle East conflict halted the disinflation trend that began in 2024. Global growth, meanwhile, holds at 3.0% in 2026 and 3.4% in 2027 — the IMF does not build in a recession scenario.

INVESTMENT IMPLICATIONS

When choosing an off-plan project, test not just base-case yield but the scenario in which inflation and financing costs stay above expectations for longer — including the effect on end-buyers' mortgage rates and on the time between construction stages.

Source: IMF World Economic Outlook Update, July 2026 (press briefing of July 8, 2026, and the update text); compared with the January and April 2026 WEO. Global growth figures (3.0% / 3.4%) are shown for reference.

Wealth is growing faster than the supply of scarce assets

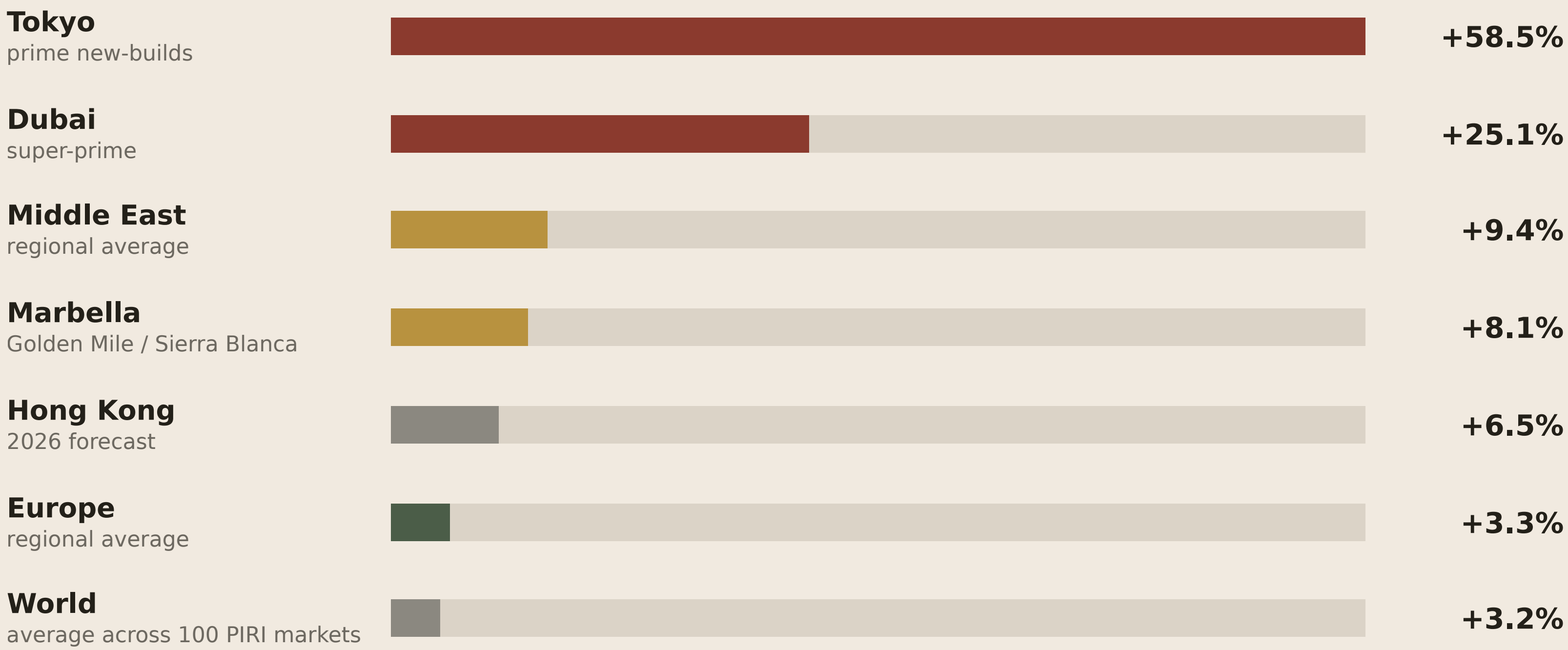
THESIS

The growing number of wealthy investors supports demand for prime real estate, but that does not make every off-plan project automatically attractive.

713,626

UHNWIs worldwide in 2026 — an average of 89 people a day have crossed the $30m threshold over the past five years

Prime price growth by market, % year-on-year, PIRI 100 · 2025



Of the 100 PIRI 100 markets, 73 showed price growth and 24 declined (one was unchanged); Tokyo is this year's leader amid a weak yen, which makes prime new-builds attractive to holders of foreign-currency income; the average masks sharp unevenness — Guangzhou, for example, lost 12.2%.

Source: Knight Frank, The Wealth Report 2026 / Prime International Residential Index (PIRI 100), 20th edition, April 2026; Marbella and Hong Kong-forecast data — Knight Frank Global Residential Signals; UHNWI data — Knight Frank Wealth Sizing Model, 2026.

STRIP 05 · ANALYTICAL FRAMEWORK

Off-plan Heat Map: 5 overheating indicators

THESIS

Overheating is a combination of signals. Price alone is not sufficient proof of a bubble.

Note: this is the club's own analytical framework, not a published Knight Frank / Bloomberg / PwC index. On the following pages it is applied as a diagnostic tool to two case studies.

1
Pipeline vs. delivery

The gap between announced construction and volume actually delivered on time over the past two years.

2
Price vs. rent/income

Price growth outpacing growth in rents and household income in the same area.

3
Deal structure

The share of cash buyers versus mortgage buyers — an indicator of demand resilience to rates.

4
Geographic concentration

Whether new supply is concentrated in 3–5 districts or spread across the market.

5
Buyer type

End user vs. speculative flipper — demand resilience through a cycle change.

How to apply it: the more indicators simultaneously show a deviation — supply concentration, the price/rent gap, the share of speculative deals — the stronger the grounds for using the word “overheated” for a specific segment (not the market as a whole).

A large pipeline is not the same as large actual supply

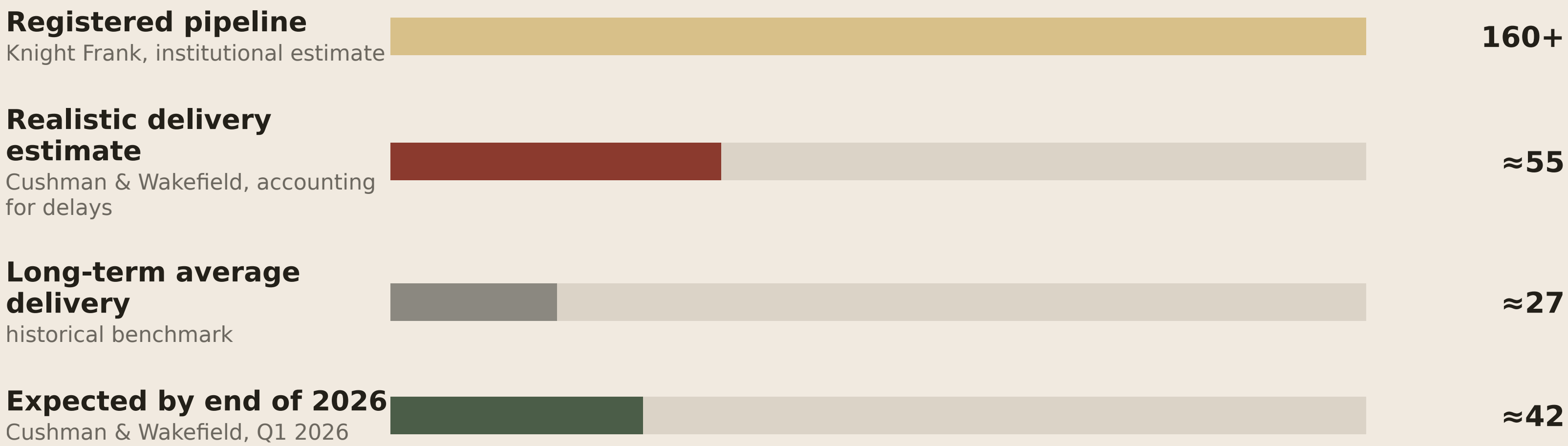
THESIS

The main risk is not the size of announced construction itself, but the market's ability to actually deliver, sell and absorb that volume without destroying yields.

27,000

average long-term annual volume of actual housing delivery in Dubai

Announced pipeline vs. realistic delivery estimate, 2026, thousand units



HOW TO READ THE GAP

The registered pipeline is the upper bound of possible supply, not a guaranteed volume. Even the realistic estimate (≈55,000) is twice the historical average delivery — delays and slippage have become a structural feature of the market, not an exception.

TAKEAWAY

The announced pipeline should be treated as the upper bound of potential supply. For evaluating a specific project, what matters more than the citywide figure is the developer's track record on delivery timelines for prior phases in the same district.

Sources: Cushman & Wakefield, Dubai Residential MarketBeat, Q1 2026; compared with Knight Frank's institutional estimates (registered pipeline of 160,000+ units) and the long-term market average (≈27,000 units/year), as cited in secondary market reviews, June 2026.

A two-speed market: risk is concentrated locally

THESIS

Even with a large overall pipeline, different segments sit at different points in the cycle: the saturated mid-market is more sensitive to new supply, while the scarce prime segment is more sensitive to supply limits.

Where housing is being built

45%

of buildings under construction is concentrated in just five districts: JVC/JVT, Dubai South, MBR City, Business Bay, Dubailand Residence Complex

5 districts rest of the city

What exactly is being built

66%

of future supply — studios and 1-bedrooms

86%

of the pipeline — apartments (currently ≈80% of the market)

PARALLEL FOR INVESTORS

The saturated mid-market segment (studios/1BR in the five districts listed) carries the greatest risk of local oversupply and rent pressure. Villas and townhouses, by contrast, remain a structurally scarce segment — their pipeline share (14%) is notably below their current market share (≈20%).

Practical takeaway: assessing whether “Dubai is overheated” is meaningless without specifying the segment and district. The Heat Map diagnostic (Strip 05) should be applied separately to mid-market apartments in JVC/Dubai South and separately to prime villas such as Palm Jumeirah or Emirates Hills.

Source: Khaleej Times, “Will Dubai housing market see an oversupply in 2026?”, citing institutional data from Cushman & Wakefield, February 2026.

What happens when a cycle passes its overheating point

THESIS

New Zealand is a useful post-factum case: a combination of a price boom, a construction expansion, and a subsequent correction that spread far beyond the real estate market.

55 mo.

the market remains in its current correction cycle — longer than the recovery after 2007 (63 mo.)

Price deviation from the November 2021 peak, by region

HOW THE BOOM BUILT UP

At the 2021 peak, the OECD house price-to-income index reached ≈143 points (2015=100) — the largest price boom since the 1970s. RBNZ's key rate rose from 0.25% to 5.50% in 2022–2023, triggering the correction.

PARALLEL FOR INVESTORS

A price rising faster than income and rent needs additional explanation. Concentration of new construction raises the risk of local oversupply. Demand's dependence on expectations of future growth makes a market more vulnerable when rates and sentiment shift.

Sources: BNZ, Eco Pulse “Measuring up the house slump”, June 2026 (OECD house price-to-income index data, RBNZ); Newsroom NZ, June 2026. The price-to-income index and key rate are shown as an illustration of the cycle, not as an indicator for Dubai.

Europe 2026: pragmatism over broad optimism

THESIS

Institutional capital is not disappearing, but it demands a more convincing case for yield, asset quality, and demand resilience.

Market leaders' expectations, 2026 vs 2025, %

Profitability by year-end improving — 2026	**50%**
Profitability by year-end improving — 2025 (prior year)	**46%**
Business confidence 2026	**45%**
Business confidence 2025 (prior year)	**50%**

What worries market leaders the most

International instability	**90%**
Escalation of global conflicts	**86%**
European economic growth outlook	**77%**
Deglobalization	**70%**

A telling gap: business confidence fell while profitability expectations rose — the market is becoming more selective, not more pessimistic, about quality assets.

- Expectations for access to debt and equity capital are improving, but capital is becoming more selective.
- Real estate is competing for capital with infrastructure and other real assets.

Source: PwC × ULI, Emerging Trends in Real Estate® Europe 2026, 23rd edition (survey of more than 1,100 industry executives), published November 5, 2025.

Which asset characteristics look more resilient

THESIS

Instead of a universal “where to invest”, use a filter of characteristics: scarcity, location quality, project stage, and the asset's ability to generate cash flow.

Scarcity

A non-replicable location, supply limited by law or geography (waterfront, historic district, status).

Location quality

Resilient demand from end users, not only investors; developed infrastructure at delivery, not just in the marketing presentation.

Project stage

Later construction stages reduce delay risk but also discount potential; early stages require stricter due diligence on the developer.

Cash flow

The asset's ability to generate income (rent, operations) independent of continued price growth — “insurance” in case the cycle pauses.

“It is not the market as a whole, but the specific combination of these four characteristics that determines whether an asset is resilient to a cycle reversal.”

8 questions before entering an off-plan deal

THESIS

This page turns the Heat Map into a due-diligence tool you can use in a meeting with a developer.

SCORING SCALE

0–2 red flags
low level of observed risk

3–5
deeper due diligence required

6+
the deal's assumptions need to be revisited

This is the club's internal analytical scale, not a statistical probability of default.

1. What share of the region's announced pipeline was actually delivered on time over the past two years?
2. What share of deals in the project/district are cash versus mortgage?
3. How does price growth compare with rent growth in the same district?
4. Is new supply concentrated in 3–5 districts or spread across the market?
5. Is this a scarce prime segment or a saturating mid-market one?
6. What is the developer's track record on delivery timelines for prior phases?
7. Does the asset have a non-replicable characteristic — location, status, rarity?
8. What happens to yield if inflation stays above the base-case scenario for longer than expected?

Overheating is a microscope, not a telescope

THESIS

Look not at the market as a whole, but at the specific district, project stage, buyer type, and the asset's ability to generate cash flow.

- High inflation raises the importance of stress-testing yield — it does not create a universal “buy real estate” signal.
- Scarce assets can be more resilient than mass-market supply, but scarcity must be confirmed with data for the specific location.
- Institutional capital does not automatically leave real estate — it becomes more demanding on yield and asset quality.
- Dubai and New Zealand show two different cycle outcomes: local normalization through supply filtering, and a more painful correction after imbalances accumulated.

THE BOTTOM-LINE FORMULA

Not “where are prices rising fastest?”, but “where is value growth backed by fundamental demand, scarcity, and a resilient project economics?”

Sources and final verification rules

SOURCE	PUBLICATION	DATA USED
Knight Frank	The Wealth Report 2026 / PIRI 100, 20th edition, April 2026	Average prime price growth (+3.2%), regional and city figures (Middle East, Dubai, Tokyo, Europe, Marbella), UHNWI count and Wealth Sizing Model
Knight Frank	Global Residential Signals, 2026	Hong Kong 2026 forecast (+6.5%)
PwC × ULI	Emerging Trends in Real Estate® Europe 2026, 23rd edition, November 5, 2025	Profitability expectations (50% vs 46%), business confidence (45% vs 50%), industry concerns ranking
IMF	World Economic Outlook Update, July 2026	Global inflation (4.1% → 4.7%F → 3.9%F) and its quarterly revisions; global growth (3.0% / 3.4%)
Cushman & Wakefield	Dubai Residential MarketBeat, Q1 2026	Realistic estimate of housing delivery in Dubai in 2026, supply-concentration zones
Khaleej Times	“Will Dubai housing market see an oversupply in 2026?”, February 2026	Dubai pipeline structure: 45% / 66% / 86%
BNZ / Newsroom NZ	Eco Pulse, June 2026 (OECD, RBNZ data)	New Zealand case: regional price correction, cycle length, price-to-income index

FINAL VERIFICATION RULE

Before publication, re-check all forecast figures, publication dates, indicator definitions, and comparison periods. Be especially careful with the Dubai pipeline figures, PIRI 100, UHNWI, and inflation forecasts.

VERIFICATION STATUS AS OF PUBLICATION DATE

All figures in this brief were checked against primary sources as of August 11, 2026. This document does not replace a further check before print if significant time passes between layout and printing.

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White Paper · Content Brief — August 2026 — Working version for editorial, analytics and design